

HEADLINE JUDGMENT

Note: 18 Jun figures are intraday prints; 17 Jun is now a final close (it reflects the FOMC). Bloomberg's restated continuation series in force throughout. **Score HOLDS at 22/30 — the floor of the crisis band — as a hawkish FOMC crosscurrent offsets the continuing geopolitical de-escalation in the macro channels. The Fed delivered a hawkish shock:** it held at 3.50–3.75% (4th straight) but raised the dot plot to a 3.8% 2026 median (above the current range, implying a hike), with **9 of 18 participants now projecting a 2026 hike**, the easing bias stripped from a slashed ~130-word statement, and Chair Warsh emphatic in his debut that “the Fed will deliver price stability.” The 2Y jumped ~14 bp, the dollar had its best day in ~a year (>100), breakevens fell and equities lost ~1%. That **held the rates/inflation channels at 4** (Treasury — MOVE up to 70.66, the →3 trigger receding; US-inflation — 5Y5Y whipsawed to 2.1842% on the close then back to 2.2066% intraday) rather than letting them drift toward 3. **Meanwhile the geopolitical de-escalation rolls on:** Brent fell to \$78.06 (WTI \$74.57) — the lowest of the de-escalation, risk premium ~\$5.6/bbl, near pre-war — and the deal text is finalized for the **formal Geneva signing tomorrow (Fri 19 Jun)**. Escalation (4) and maritime (4) hold pending the signing (the blockade stays “pending execution”); **escalation →3 is imminent on Friday** + sustained calm, with the **Lebanon front** (Israel won't withdraw, daily fighting, Hezbollah drones) the key residual friction. The bias stays down, but the hawkish Fed has stalled the rates-channel normalization. Sequencing 23 → 23 → 22 → 22 (held).

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

18 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 17 Jun and earlier are final closes (restated continuation series). d/d deltas are 18 Jun intraday vs 17 Jun close; w/w deltas are vs 11 Jun close.

Benchmark	Intraday 18 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$78.06 /bbl	−\$1.17 (−\$11.05 w/w)	from \$72.48 (+7.7%) — lowest of the de-escalation; risk premium ~\$5.6/bbl, near pre-war	CO1 Comdty
Brent · 17 Jun close (carried)	\$79.23 /bbl (≈ my \$79.01 intraday)	oil flat through the FOMC; the d/d move is 18 Jun's fresh leg lower		CO1 Comdty (Close)
WTI front-month	\$74.57 /bbl	−\$1.44 (−\$11.59 w/w)	from \$67.02 (+11.3%) — mid-\$70s	CL1 Comdty
Brent–WTI spread	\$3.49 /bbl	+\$0.17 d/d	steady	derived
Henry Hub natural gas	\$3.17 /MMBtu	+\$0.02 (+\$0.08 w/w)	from \$3.06 (+3.5%) — firm; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€40.78 /MWh	−€1.14 (−€8.92 w/w)	from €31.23 (+30.6%) — down −€9 w/w on the reopening	TZTA Comdty
Japan/Asia LNG (17 Jun print)	¥2,547	−¥85 vs 16 Jun	from ¥1,669 (+52.6%) — grinding lower toward the deal	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now well stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

18 Jun 2026 yields are intraday — final closes may differ. d/d deltas are 18 Jun intraday vs 17 Jun close; w/w deltas are vs 11 Jun close. The 17 Jun close reflects the hawkish FOMC.

Tenor	Yield (%) — intraday 18 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.17	−1.7	+10.6	+79 (from 3.37%) — jumped ~14 bp on the hawkish FOMC, easing slightly today	USGG2YR Index
5-year UST	4.23	−3.0	+4.8	+73 (from 3.50%)	USGG5YR Index
10-year UST	4.46	−3.2	−0.6	+52 (from 3.94%) — 19.5 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.90	−3.4	−5.8	+29 (from 4.61%) — below 4.90% (long-end anchored by the inflation-fighting Fed)	USGG30YR Index
2s10s spread	+29 bp	−1.3	−11.1	−27 (flattened hard on the FOMC)	USYC2Y10 Index
10Y breakeven inflation	2.26	−0.4	−4.5	+0 (from 2.26%) — back to pre-war as oil falls + a hawkish Fed	USGGBE10 Index
5Y5Y forward inflation	2.21	+2.2	+1.6	+6 (from 2.14%) — whipsawed: 2.1842% close (17 Jun) → 2.2066% intraday	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	100.23	18 Jun intraday	+2.63 (from 97.61)	Jumped back above 100 on the hawkish FOMC (best day in ~a year), holding (+0.15 d/d, +0.38 w/w). Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	70.66	17 Jun (lagged)	-2.72 (from 73.38)	Rose on the FOMC (67.28→70.66), moving back from the 65 leg — the Treasury →3 downgrade receded. Still below pre-war and far below the 130 Stage-4 level.
VIX (equity vol)	18.44	17 Jun (lagged)	-1.42 (from 19.86)	Ticked up on the hawkish FOMC and the ~1% equity sell-off (16.41→18.44), still below pre-war.
US gasoline retail avg	\$4.66 /gal	16 Jun (latest print)	+\$1.14 (from \$3.52, +32%)	Below the \$4.75 threshold (political-stress at 4); still grinding down with crude toward the \$3.52 pre-war level.

Strait operational state

Indicator	Current reading	Source
Deal — signing Fri 19 Jun (Geneva)	Iran's deputy FM Gharibabadi: the text is finalized and will be signed Friday in Geneva; "a permanent and immediate end to the war has been declared on all fronts." Pakistan (mediator) expects "pre-implementation discussions" in the interim.	CNBC / NBC / AP
Blockade — "pending execution"	The US military says the blockade remains in place pending execution of the deal, with a merchant-ship advisory: "Do not attempt to cross until explicit direction is given." The strait opens for mine removal after Friday's signing.	AP / ABC
FOMC (17 Jun) — hawkish hold	Held at 3.50–3.75%; dot-plot 2026 median raised to 3.8% (9 of 18 project a hike), easing bias stripped, statement cut to ~130 words; Warsh: "the Fed will deliver price stability." 2Y +~14 bp; dollar's best day in ~a year; equities -~1%.	Fed / CNN / CNBC
Lebanon front — residual friction	Israeli DM Katz: Israel will not withdraw from land seized in Lebanon; daily Israel-Hezbollah fighting continues (Hezbollah drones into northern Israel; Israeli airstrike on Beirut's southern suburbs). Iran's FM wants Israeli attacks "completely halted."	NPR / NBC
Vessel traffic vs pre-war norm	Still ~5% of normal; only ~4 tankers have transited since the announcement, most anchored in the Gulf of Oman/Persian Gulf. Energy experts: months to fully ease the crisis even after reopening.	MarineTraffic / NBC / AP
Open issues	Nuclear program (HEU, sanctions) reserved for the 60-day talks; Iran floated a possible ship "service fee" vs the deal's toll-free terms; Trump denies a reported \$300 mn payment.	CNBC / NBC

2 · US economic shock — analysis with bond yields

The US economic shock holds at the floor of **Stage 3** (22/30) on a crosscurrent: the geopolitical de-escalation is disinflationary (oil at the de-escalation low, the strait set to reopen Friday), but a hawkish FOMC — responding to a 4.2% CPI already in the system — has re-firmed the front end, the dollar and bond vol, holding the rates/inflation channels at 4. The geopolitical channels (oil, escalation, maritime, political) are poised to fall further; the macro channels are pinned by the Fed. No Stage-4 signal; the dollar is strengthening, not breaking.

2.1 · Bond-yield transmission

18 Jun yields are intraday; d/d vs 17 Jun close, w/w vs 11 Jun. **Score 22/30 — held; no channel moved on the 17 Jun close.** The hawkish FOMC drove the front end up (2Y +~14 bp into the close, now 4.1675% intraday) and flattened the curve (2s10s +29 bp, -11 bp w/w), while 18 Jun eases the long end slightly (30Y 4.8976%, 10Y 4.4552%). Brent -\$1.17 d/d to \$78.06.

(i) Inflation anchor — whipsawing at the trigger; held at 4. The hawkish Fed pulled 5Y5Y to 2.1842% on the 17 Jun close (below 2.20%) as inflation-fighting credibility lowered long-run expectations — but it rebounded to 2.2066% intraday. 10Y breakeven is back to the 2.26% pre-war level (-4.5 bp w/w). The single sub-2.20% close did not sustain, so US-inflation holds at 4; a sustained move toward the 2.142% pre-war anchor takes it to 3.

(ii) Long-end — below 4.90%, but Treasury →3 receded. 30Y at 4.8976% intraday (-5.8 bp w/w) keeps falling, but the hawkish FOMC pushed MOVE up to 70.66 (from 67.28) — back from the 65 leg — and re-firmed the front end, so the Treasury →3 downgrade (30Y <4.50% with MOVE <65) receded. Treasury holds at 4. 10Y at 4.4552% is 19.5 bp below the 4.65% trigger; the curve flattened hard (2s10s +29 bp).

(iii) Oil — at the de-escalation low; holds at 2. Close path: \$82.24 (15 Jun) → \$78.67 (16) → \$79.23 (17) → \$78.06 intraday (18 Jun). Risk premium ~\$5.6/bbl (+7.7% vs pre-war) as the reopening is priced. Holds at 2; a sustained grind toward the \$72.48 pre-war level takes it to 1, a deal collapse / >\$95 spike restores it to 3.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the deal has moved the complex far from it; the hawkish Fed lifts the front end but not the long-end-stress metrics that define Stage 4.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 4.90%, the next 30Y auction should price comfortably despite the hawkish tilt.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.8976% is 30 bp below the 5.20% trigger; 10Y 4.4552% is 19.5 bp below 4.65% — the hawkish move hit the front end, not the long end.

Threshold C · MOVE above 130. Contained. MOVE rose to 70.66 on the FOMC but remains below pre-war; VIX 18.44 is below pre-war despite the equity sell-off. Both far below Stage-4 levels. HY OAS not in the BBG sheet — watch externally given the equity wobble.

2.3 · Cross-asset

The hawkish FOMC re-firmed the dollar (DXY >100, best day in ~a year) and the front end while pulling breakevens back to pre-war and knocking equities ~1% — a classic hawkish-repricing signature. Against it, oil, TTF and Asia LNG keep falling on the reopening, and the long end drifts lower. The result is a curve flattening (2s10s +29 bp) that captures the crosscurrent: higher-for-longer policy at the front, a fading war/inflation premium at the back. The score's residual elevation is now split between structural geopolitics (maritime, escalation pending Friday) and a Fed-pinned rates/inflation pair.

3 · Shock score

Total: **22/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4. Blockade "pending execution" (US advisory: do not cross); strait opens for mine removal after Friday's signing; traffic still ~5% (~4 tankers since the announcement). Energy experts: months to fully normalize.	↑ strait re-closed / blockade reinstated → back to 5. ↓ traffic >25% normal for 10 sessions → to 3.
Oil price shock	2/5	Held at 2. Brent \$79.23 close (17 Jun) → \$78.06 intraday (18 Jun); risk premium ~\$5.6/bbl (+7.7% vs pre-war), near pre-war as the reopening is priced.	↑ Brent >\$95 sustained → back to 3. ↓ Brent toward the \$72.48 pre-war level sustained → to 1.
US inflation impulse	4/5	Held at 4 — whipsaw. The hawkish Fed pulled 5Y5Y to 2.1842% (17 Jun close, below 2.20%) then it rebounded to 2.2066% intraday; 10Y BE back to the 2.26% pre-war level. Not a sustained sub-trigger move.	↑ 5Y5Y clearly rising >2.20% → back to 5. ↓ 5Y5Y ≤2.20% toward the 2.142% pre-war anchor → to 3.
Treasury stress	4/5	Held at 4 — →3 receded. The hawkish FOMC pushed MOVE to 70.66 (back from the 65 leg) and re-firmed the front end; 30Y 4.8976% is still far above the 4.50% leg. Both →3 legs moved the wrong way.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Gasoline \$4.66 (16 Jun), below the \$4.75 threshold and still falling with crude on a ~16-session downtrend from the \$5.18 peak.	↑ gasoline >\$4.75 sustained → back to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	4/5	Held at 4. The text is finalized for Friday's Geneva signing; both sides have stood down. But the formal signing is pending, and the Lebanon front is live — Israel won't withdraw, daily Israel-Hezbollah fighting, Hezbollah drones into Israel. Not yet a 3.	↑ deal collapse / fresh strikes → back to 5. ↓ formal signing + reopening + sustained calm → to 3 (imminent, Friday).
TOTAL	22/30	Crisis band — held at the floor (22). A hawkish FOMC pinned the rates/inflation channels at 4 (Treasury →3 receded; US-inflation whipsawed) even as oil hit the de-escalation low. The bias stays down: escalation →3 is imminent on Friday's signing, maritime →3 awaits traffic recovery — a path into the 15–21 systemic-risk-watch band — but the hawkish Fed has stalled the rates-channel leg.	

4 · What's changed since the last edition (17 Jun AM → 18 Jun AM)

Score holds at 22/30 — a hawkish-FOMC crosscurrent. No channel moved on the 17 Jun close; the Fed held the rates/inflation channels at 4 even as the geopolitical de-escalation continued. Source: Bloomberg / Fed.

Hawkish FOMC (17 Jun). Held at 3.50–3.75% but raised the dot-plot 2026 median to 3.8% (9 of 18 project a hike), stripped the easing bias, and Warsh pledged to "deliver price stability." 2Y +~14 bp, dollar's best day in ~a year (>100), breakevens to pre-war, equities ~-1%. Source: Fed / CNN / CNBC.

Treasury →3 receded; US-inflation whipsawed. MOVE rose to 70.66 (from 67.28), moving back from the 65 leg; 5Y5Y dipped to 2.1842% on the close then rebounded to 2.2066% intraday. Both macro channels held at 4. Source: Bloomberg.

Oil at the de-escalation low. Brent -\$1.17 d/d to \$78.06 (WTI \$74.57); risk premium ~\$5.6/bbl, near pre-war. TTF -€8.9 w/w. The reopening keeps draining the energy premium. Source: Bloomberg.

Signing tomorrow (Fri 19 Jun). Iran says the text is finalized; the formal Geneva signing is Friday, the blockade stays "pending execution," and the strait opens for mine removal after. Escalation →3 is imminent. Source: CNBC / AP / NBC.

Lebanon — the residual friction. Israel won't withdraw from southern Lebanon; daily Israel-Hezbollah fighting and Hezbollah drones into Israel continue, against Iran's condition. The key route to a breakdown. Source: NPR / NBC.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — strait reopens, normalization	60%	Friday's Geneva signing proceeds; mine clearance and reopening begin; traffic recovers (over months); nuclear talks advance. +1 ppt as the text is finalized for signing.	Brent \$66–80; 30Y 4.6–4.9%; MOVE <72; score normalizes into the 15–21 band and below.
Slow / partial implementation	26%	Ceasefire holds and the strait reopens, but commercial shipping normalizes gradually (mine clearance, insurance, a possible Iranian 'service fee'). Energy experts: months to ease.	Brent \$76–86; yields stable; modest residual risk premium ~\$4–7/bbl.
Signing stumble — Geneva slips	7%	The Friday ceremony slips or nuclear/HEU and sanctions terms snag; rhetoric hardens without a return to strikes. –1 ppt as the text is finalized.	Brent \$84–94; yields drift up; risk premium rebuilds toward \$10–14/bbl.
Ceasefire breakdown / re-escalation	5%	A provision collapses — the Lebanon front (Israel troops, daily fighting, Hezbollah drones) is the most likely trigger — and strikes resume.	Brent \$108–128; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward 27–28.
Major regional relapse	2%	Multi-front relapse with the strait re-closed/mined. Tail risk, much reduced by the signing.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 17 Jun edition: deal-holds normalization +1 (59→60), signing-stumble –1 (8→7); slow/partial (26%), breakdown (5%) and regional relapse (2%) held. Driver: the deal text is finalized for Friday's Geneva signing, with both sides stood down. The hawkish FOMC does not change the geopolitical path but caps how far the rates/inflation channels normalize. The breakdown bucket holds at 5% on the live Lebanon front (Israel won't withdraw, daily fighting, Hezbollah drones) and the unresolved nuclear/HEU and sanctions terms — the scenarios to watch.

6 · Watchlist · next 24–72 hours

Formal Geneva signing (Fri 19 Jun) — the pivot. The signing, blockade removal and the start of mine clearance would take escalation-risk to 3 and begin maritime normalization. The blockade stays "pending execution" until then (US advisory: do not cross).

Hawkish-Fed aftermath. The dot plot (3.8% median, 9/18 hiking) and Warsh's higher-for-longer stance hold the rates/inflation channels up; a Sept/Dec hike is ~77% priced. Watch whether the front-end selloff extends or the oil/de-escalation drag pulls yields back down — it governs whether Treasury/US-inflation can resume their drift toward 3.

Oil toward pre-war. Brent \$78.06, risk premium ~\$5.6/bbl. A sustained grind toward the \$72.48 pre-war level takes the oil channel 2→1; a deal collapse / >\$95 spike restores it to 3.

Lebanon front. Israel's refusal to withdraw, daily Israel–Hezbollah fighting and Hezbollah drones into Israel — against Iran's condition — are the most likely route to a breakdown and the key residual risk.

Strait traffic / mine clearance — maritime to 3. Once reopening begins, watch verified vessel-traffic: >25% of normal sustained for ten sessions takes maritime-denial 4→3. Experts flag a months-long commercial normalization.

5Y5Y at 2.20%. Whipsawing at the trigger (hawkish Fed pulled it below, oil/de-escalation could pull it lower); a sustained move toward the 2.142% pre-war anchor takes US-inflation 4→3.

Service-fee / nuclear terms. Iran floated a possible ship 'service fee' vs the toll-free deal; the nuclear/HEU and sanctions terms are the hard 60-day phase — implementation disputes are the main downside.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline).

Tier 1 — news and institutional. Federal Reserve (FOMC 17 Jun: hold 3.50–3.75%, dot median 3.8%, 9/18 projecting a hike, easing bias removed, Warsh's debut presser), CNN, CNBC, AP, NPR, NBC, ABC, Reuters, Bloomberg, FT, WSJ; CME FedWatch (~77% hike by Dec). The finalized deal text for Friday's Geneva signing (Iran deputy FM), the blockade "pending execution" advisory (US military), the strait/mine-removal sequence and the Lebanon friction via AP / NPR / NBC / CNBC.

Tier 3 — state media (labelled). Iranian statements (text finalized, ceasefire "on all fronts," a possible ship service fee) are labelled and corroborated against AP / CNBC / NBC; Xinhua, TASS, Tasnim, Fars, Press TV used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (17 Jun, post-FOMC) and capture any restatement.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 11 Jun this edition); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market/economic channels move on a confirmed close through a trigger (this edition: none moved; the hawkish FOMC pushed Treasury's →3 trigger back and whipsawed 5Y5Y). Escalation-risk is event-based, held at 4 pending Friday's signing.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: oil was flat through the FOMC; the hawkish decision lifted the front end, dollar and MOVE on the 17 Jun close).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with Friday's Geneva signing, the hawkish-Fed aftermath, and the queued geopolitical downgrades (escalation, maritime).

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market/economic channels move on a confirmed close through a trigger; escalation-risk is event-based. A channel can be held by a driver exogenous to the conflict — this edition a hawkish FOMC re-firmed the front end, dollar and bond vol, holding Treasury and US-inflation at 4 even as the war's premium drains from oil. The analysis flags this crosscurrent explicitly.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) 10Y breakeven is back to pre-war; Brent (+7.7%) and the vol gauges are near it; the hawkish Fed has re-firmed the front end and dollar above pre-war.

Intraday caveat. The latest dated row is a Singapore-AM intraday snapshot. The 17 Jun close carried the 2:00 PM ET FOMC, which lifted the front end ~14 bp, the dollar and MOVE after my AM read — a reminder that US-hours events set the close. Market-channel triggers are evaluated only on confirmed closes (the 5Y5Y sub-2.20% print on 17 Jun did not sustain); escalation-risk is event-based and awaits Friday's formal signing. This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.